



Quarterly Investment Report

Q2 2024 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	52.6%	-0.63%	-1.23%
Credit	20.5%	-0.87%	-0.78%
Equities	9.0%	-0.55%	+3.91%
Property	8.0%	+1.65%	+1.53%
Cash	6.6%	+0.84%	+2.64%

Market Commentary

During Q2 2024, gilt yields moved by approximately +25bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.